and if the name is withdrawn they would be demoralized,' he says. 'On hearing what I had to say, Cyrus said, "You have been influenced by RNT,"' says Bhat. An angry Wadia then insisted the company should not share any more information with the chairman emeritus. 'I had pushed for a resolution stating that chairman emeritus should have all information about the company. Today, I'm telling you that it is illegal to pass on that information. From tomorrow onwards, this company will not pass on any information,' said Wadia, Bhat recalls. The company then authorized Munjee and Bhat to communicate it to Ratan. Bhat finally did and he says that the interim chairman 'did not react in any manner'.

A draft public statement was then prepared on the behalf of the independent directors. It reiterated their confidence in Mistry and 'reaffirmed their earlier assessment and evaluation'. Wadia demanded that the minutes be signed by the company secretary, Rajiv Chandan. He refused: 'There is no provision under the company law that envisions a meeting of independent directors,' said Mukundan, recalling what Chandan had said. 'We will sack him,' said Wadia. An unfazed company secretary nonchalantly walked away. Bhat intervened and requested Mukundan to diffuse the crisis. But Chandan insisted that he will only sign statements of the board. Finally, it was decided that it would be issued by the board. Bhat requested to see what was prepared. 'You do not have to see the statement,' was Wadia's reply, says Bhat.

But the statement stirred a hornet's nest. It did not have the observations that were made by Bhat opposing Mistry during the board meeting. In protest, he resigned from the company board.

The happenings at the Tata Chemicals disquieted Bombay House. In view of the board's open animosity towards its promoter, Tata Sons, which held a 19.35 per cent stake in the company, the latter issued a special notice to the company to hold an EGM for the removal of Mistry and Wadia as directors. The effort was not isolated. Following through, on the same day, Tata Sons, which held a 26.51 per cent stake in Tata Motors, issued a special notice to the company as well. As a 29.75 per cent stakeholder in Tata Steel, it sent a similar notice to the steelmaker. It was reported in the media that Wadia had allegedly influenced the independent directors of Tata Chemicals, Tata Steel and Tata Motors to support Mistry.

Tata's Rebuttal